DECISION PAPER / MAY 2024

Deep Dive Strategy Presentation

Win the next pickup.
Then earn the right to scale.

A localized growth strategy for SuperK-Taxi Korea
Operational changes start August 2024

THE CEO DECISION

KRW 12bn

proposed investment ceiling
August 2024 – June 2025

01 **Concentrate Seoul supply**

02 **Localize the core journey**

03 **Scale only after proof**

Evidence cut-off: 31 May 2024. Case-name proxy: UT / Uber Taxi; mapping and limitations in Appendix A1. [S1]

A distant #2 must win local density—not a national subsidy war

TADA / i.M contest premium vans; ONDA powers tourist app TABA. Win a dependable everyday-taxi niche. [S14, S16]

PUBLIC SCALE SNAPSHOT / DECEMBER 2023 [S2]

Rider-app MAU, millions



19.2×

rider gap

Driver-app MAU, thousands



2.6×

driver gap

CONSTRAINT → STRATEGIC RESPONSE

249k licensed taxis

- ~66% individually owned: win independent drivers, not vehicle ownership. [S3]

~30k fewer corporate drivers

- TS reports a structural workforce loss vs pre-Covid: activate qualified, productive hours. [S4]

Price advantage is closing

Kakao announced a 2.8% franchise product for June and matching reform for Q3. [S5]

STRATEGIC CHOICE Win three Seoul clusters first; convert the new brand into reliable pickups and repeat use.

Facts: [S2–S5, S14, S16]. MAUs are non-exclusive app users—not ride share, fleet availability or earnings. Targets elsewhere are proposals.

Make driver earnings and availability the growth engine

COO mandate: deliver net +8,000 weekly trip-producing drivers by December 2024; +12,000 by June 2025.*

01 / ACTIVATE

Recruit usable supply

- Target +2,000 active drivers from 20 fleet partners; +6,000 independents / reactivations by December.
- Run depot qualification / app clinics with associations; reactivate idle shifts. Pay referrals after week 4.

02 / RETAIN

Offer better net earnings

- Retain transparent 2.5% franchise pricing on SuperK-T fares only; validate contracts first. [S2]
- Pay capped peak-completion incentives—not sign-ups. Target +10% net earnings/hour, excluding bonuses.

03 / DENSIFY

Own three Seoul clusters

- Start Gangnam–Seocho, Jongno–Jung and Hongdae–Mapo; protect commute and 22:00–02:00 coverage.
- Use voluntary supply heatmaps, simple driver UX and Korean live support; match without brand bias.

DECEMBER RELIABILITY TARGETS / CORE ZONES

≥90%	match within 2 minutes
≤5 min	median pickup
≥85%	request-to-completion
≥75%	week-4 driver retention

* Proposed net additions vs July 2024 baseline, same zones. Weekly activity = ≥5 completed SuperK-T trips. Pricing evidence: [S2].

Use visitors as the bridge; Korean repeat riders build scale

2023 brought ~11m inbound arrivals, only 63% of 2019. But TABA already serves tourists—language alone is not a moat. [S10, S14]

PRIORITY	ACQUISITION PLAY	LOCAL JOURNEY REQUIREMENTS	PROOF BEFORE SCALE
1 / Inbound August launch	Global-app continuity; hotel and airline deep links. Start with 30 hotel partners.*	Foreign-number and overseas-card QA; EN / JA / ZH pickup help; airport staging instructions.	Scale after ≥98% successful payment attempts.
2 / Seoul repeat August–September	Office commuters and late-night riders in the three clusters. Employer / venue codes, not mass media.	Road + lot addresses; building names and station exits; saved Home / Work; Korean card-on-file and pay-driver choice.	Scale after ≥35% 30-day repeat and zone service gates.
3 / Corporate October pilot	Pilot 20 employers for staff travel and hotels for guest bookings; seek opt-in TMAP distribution.*	Korean receipts, cost centers and admin billing; human recovery on failed pickups.	Scale only with contracted fees and positive trip contribution.

PRODUCT GATE / BY 31 JULY QA 100 Korean pickup locations; ≥95% address-search task success; no critical payment or safety defects.

* Partnership counts and all thresholds are proposals; no signed partnerships assumed. Public context: rebrand [S1], tourism [S10], TABA [S14].

Make taxi alignment and compliance a competitive advantage

General Counsel + COO own a written product-by-city operating matrix before the August launch.

LICENSE TO OPERATE

Stay inside taxi routes

- Scale registered Type 3 brokerage plus licensed Type 2 franchises; no unlicensed private-car supply. [S7, S8]
- File / approve each fare, booking fee and airport rule as required. Show meter, tolls and night surcharges clearly. [S12]

LICENSE TO COMPETE

Build a fair platform

- Audit dispatch by ETA and service needs; no unjustified self-preferencing. KFTC's 2023 action is the warning. [S6]
- Publish fees and appeals; convene fleet and independent-driver councils. No forced data-sharing or exclusivity.

LICENSE TO BE TRUSTED

Operate safely in Korean

- Verify licenses, insurance and required fitness checks; offer 24/7 Korean safety response and lost-item recovery.
- Minimize trip-data access; map PIPA / location-data and overseas-transfer obligations before releases. [S9]

DO NOT REPEAT UT's premium Black pilot stopped in January 2024 despite a licensed partner. Engage taxi stakeholders before new formats. [S13]

Framework: [S6–S9, S12, S13]. Proposed controls are not a legal opinion. Wage-rule expansion watchlist: historical timetable [S15], Appendix A4.

Approve KRW 12bn—with hard proof before each release

Incremental Korea growth envelope, August 2024–June 2025. Release KRW 3bn first; hold KRW 1bn as Regional CFO-controlled reserve.

STAGE	TRANCHE	ACCOUNTABLE LEAD	GATE / DELIVERABLE
PREPARE June–July 2024	Existing resources	CEO / Product / Legal	Lock July baseline; staff a 12-person cross-functional team; sign supply terms; pass UX, legal and safety launch gates.
PROVE August–September	**KRW 3bn**	COO + Product	Three clusters only. ≥85% match; ≤6-min pickup; ≥80% completion for four consecutive weeks to unlock next tranche.
DEEPEN October–December	**KRW 4bn**	Growth + COO	Reach +8k active drivers; ≥35% 30-day repeat; ≥10% estimated core-zone app-trip share; cap retained-rider CAC at KRW 6k.
REPLICATE January–June 2025	**KRW 4bn**	CEO + Asia Strategy	Target 3× July monthly trips and ≥15% core-zone share. Add Incheon / Busan only after gates; mature-cohort CM2 ≥0.
ALLOCATION / KRW bn	**4.0 supply | 3.0 demand | 2.0 product | 1.5 trust & ops | 0.5 future pilots | 1.0 reserve**		

All budgets, staffing and targets are proposed—not forecasts. CM2 and share definitions: A3. Economics, assumptions and downside: A2.

Build leadership in reliability, earnings and low-carbon mobility

A strong #2 is the platform riders can trust and drivers choose—not the app with the largest coupon budget.

HORIZON 1 / OPTIMIZE

Smarter utilization

- 2025: forecast demand by zone and hour; pilot dispatch and reservation reliability with matched control zones.
- Scale only if empty km/trip fall ≥10%, driver net earnings/hour rise ≥10% and safety does not worsen.

HORIZON 2 / ELECTRIFY

EVs that work for drivers

- 2025: 200-taxi, partner-financed EV pilot with leasing and charging partners; do not buy a fleet.
- Seoul plans 2,380 electric taxis in 2024. Validate subsidies; require TCO parity and no loss of peak availability. [S11]

HORIZON 3 / EXTEND

New demand, not bets on hype

- 2025: accessible and assisted booking through qualified operators; publish verified emissions methodology.
- 2026+: consider licensed AV partners only with approvals, safety evidence and a separate CEO investment gate.

NORTH STAR / DEC 2026 Defend #2 by completed app-hailed trips and target ≥10% national share; lead service quality in core zones.

All horizons and outcomes are proposed and conditional. EV policy context [S11]; licensed expansion framework [S7, S8]. No post-May developments used.

Three choices to settle today

01 Where do we win first?

Approve the three Seoul clusters; reject broad national media and uncontrolled discounting.

02 What capital do we commit?

Approve a KRW12bn ceiling, release KRW3bn for launch, and preserve hard stop / scale gates.

03 Who can stop the rollout?

Give Legal a veto, COO ownership of service gates, and Asia Strategy / CFO control of tranche releases.

Separate known facts from planning assumptions

Case mapping: SuperK-T is assumed to be UT / Uber Taxi; this is a public-information proxy, not access to internal performance data.

MEASURE	PUBLIC OBSERVATION	INTERPRETATION / LIMIT
Rebrand / ownership	Announced 29 Feb 2024; app update planned early March; 51% Uber / 49% Tmap.	Matches the case. JV ownership does not guarantee distribution rights. [S1]
Rider demand	Dec 2023 MAU: Kakao T 12,682,024; UT 661,318; gap 19.2×.	Panel app use, not completed rides or exclusive customers. [S2]
Driver reach	Dec 2023 driver MAU: Kakao T 149,895; UT 56,686; gap 2.6×.	App activity is not concurrent supply, licensed cars or accepted trips. [S2]
Taxi stock	End-2022: 249,063 taxis; ~164,000 individually owned (~66%).	Taxi Association statistics reproduced in a dated public safety column. [S3]
Workforce	TS presentation, 2 May 2024: nearly 30,000 fewer corporate drivers vs pre-Covid.	A national structural constraint—not an estimate of SuperK-T attrition. [S4]
Competitive response	Kakao's 25 Apr announcement: 2.8% product in June; matching reform planned for Q3.	Treat as announced intentions, not completed launches by May. [S5]

SOURCE DISCIPLINE TS and the Korea National Joint Conference of Taxi Associations are considered via contemporaneous public reporting; no live dashboard is backcast.

Evidence: [S1–S5]. Research cut-off: 31 May 2024. Unknowns: May trips, active supply, take rate, CAC, retention and economics; audit in June–July.

Thin taxi take rates make capital discipline non-negotiable

Illustrative incremental case—not a forecast. General brokerage is modeled as unmonetized; 2.5% applies only to chargeable franchise fares.

MATURE COHORT / ASSUMPTIONS	DOWNSIDE	BASE	UPSIDE
Average fare / chargeable mix	KRW15k / 40%	KRW18k / 60%	KRW20k / 80%
Revenue per completed trip[1]	KRW150	KRW270	KRW400
Variable cost per trip[2]	KRW180	KRW170	KRW160
CM1 per trip	**−KRW30**	**KRW100**	**KRW240**
KRW6k CAC payback[3]	No payback	12 months	5 months

BASE / AUG 2024–JUN 2025 CASH BRIDGE

- 8m incremental trips → KRW144bn GMV; revenue KRW2.16bn less variable costs KRW1.36bn → CM1 KRW0.8bn.
- KRW7bn incentives + KRW4bn fixed growth costs → KRW10.2bn burn; KRW11.2bn with full reserve.

CHECK THE UNDERWRITING

Capacity: 6k drivers × 22 shifts × 6 trips × 11 months ≈ 8.7m. CAC: KRW3bn / 500k retained riders = KRW6k.

4m-trip downside: CM1 −KRW0.12bn. Freeze expansion if unit margin or service gates fail.

[1] Fare × 2.5% × chargeable mix. [2] Blended payments, support, insurance/safety costs. [3] Five trips/month, zero ongoing subsidy or churn; optimistic static test. [S2]

Measure rides and sustainable liquidity—not downloads

Every zone is reviewed weekly. Tranche releases require four consecutive weeks of service compliance plus Legal sign-off.

METRIC / OWNER	DEFINITION	PROPOSED THRESHOLD
Supply / COO	Net incremental weekly drivers with ≥5 SuperK-T completions; same zones vs July baseline.	+8k Dec; +12k Jun 2025
Match / COO	Valid requests matched within 120 seconds ÷ all valid requests, including unmatched.	≥85% Sep; ≥90% Dec
Experience / Product	Median request-to-arrival among pickups; completion ÷ valid requests guards selection bias.	≤6 min / ≥80% Sep; ≤5 min / ≥85% Dec
Driver retention / COO	Activated drivers still completing ≥5 trips in week 4 ÷ activated cohort; earnings net of vehicle costs.	≥75% W4; +10% net/hour excluding incentives
Rider repeat / Growth	First-time completed riders with another completion within 30 days ÷ first-time completed riders.	≥35% by Dec
Paid acquisition / CFO	All rider acquisition spend ÷ incremental 30-day-retained riders, measured with holdouts.	≤KRW6k retained CAC
Economics / CFO	CM2 = platform revenue − variable service costs − all trip-linked driver/rider incentives.	Mature 8-week cohorts ≥0 by Jun 2025
Share / Strategy	Completed app-hailed trips across platforms; independent trip-panel estimate, fixed geos and hours.	Core ≥10% Dec / ≥15% Jun; national ≥10% Dec 2026

Exclude bots and duplicate requests under a locked rulebook; report cancellations, safety incidents and unserved requests separately. All thresholds are proposals.

Resolve launch constraints before they destroy investment

Counsel must validate the rules and contracts in force at launch; this May 2024 plan assumes no favorable deregulation.

RISK	MAY 2024 BASIS / CONSTRAINT	OWNER	CONTROL / DECISION
Supply routes / permits	Type 3 brokerage registration; Type 2 franchise licensing and authorized fare terms. Do not recruit unlicensed private cars.	General Counsel + COO	City / product matrix and document checks before activation. [S7, S8]
Fares / airports	Separate meter fare, legally applicable surcharge, tolls and optional fees. Check business-area and airport pickup restrictions.	Local Ops + Legal	No fee product or airport campaign without sign-off. [S7, S8, S12]
Driver labor / partner risk	2019 law envisaged non-Seoul 40-hour rule rollout within five years (by Aug 2024). Validate implementing timing and partner solvency.	Legal + Supply	Stress-test fleet payroll and service capacity; do not rely on flexible-labor reform. [S15]
Dispatch / competition	No unjustified franchise preference; no pressure to breach rival contracts. Keep audit logs and appeals.	Product + Legal	Quarterly independent fairness review; resolve complaints through driver council. [S6]
Data / safety / trust	Validate PIPA, location-service duties, overseas transfer basis, retention and access controls; verify driver credentials and insurance.	DPO + Safety	Critical control failure halts the affected release. New formats require regulator and taxi dialogue. [S9, S13]

Legal sources: [S6–S9, S12, S13, S15]. Product proposals are subject to filings, authorizations, contracts and stakeholder acceptance.

Public-source register

Clickable publisher links. Publication dates—not crawl dates—determine eligibility for the May 2024 evidence set.

S1	**UT to rebrand taxi service to Uber Taxi** Yonhap News Agency | 29 Feb 2024	OPEN SOURCE ↗
S2	**UT grows its user base as Kakao T faces scrutiny** ChosunBiz / Daum; Mobile Index data | 9 Jan 2024	OPEN SOURCE ↗
S3	**Auto Safety News: taxi industry safety column** Samsung Fire Traffic Safety Research Institute | 31 May 2023	OPEN SOURCE ↗
S4	**Transport debate: diversify services beyond taxi hailing** Yonhap, reporting TS policy presentation | 2 May 2024	OPEN SOURCE ↗
S5	**New 2.8% franchise product planned for June** Kakao Mobility newsroom | 25 Apr 2024	OPEN SOURCE ↗
S6	**Algorithmic competition – Note by Korea** KFTC contribution to OECD, DAF/COMP/WD(2023)12 | 19 May 2023	OPEN SOURCE ↗
S7	**Transport-platform framework enters into force** MOLIT press release, mirrored by ITS Korea | 7 Apr 2021	OPEN SOURCE ↗
S8	**Passenger Transport Service Act (historical text)** Korea Legislation Research Institute | Amended through 23 Mar 2021	OPEN SOURCE ↗

[S1] [S2] [S3] [S4] [S5] [S6] [S7] [S8] | Source IDs map to slide footnotes. All recommendations and forecasts are analyst proposals.

Public-source register

Clickable publisher links. Publication dates—not crawl dates—determine eligibility for the May 2024 evidence set.

S9	**Amended PIPA and Enforcement Decree become effective** Personal Information Protection Commission | 15 Sep 2023	OPEN SOURCE ↗
S10	**Korea to attract visitors with uniquely Korean experiences** MCST / Korea.net | 22 Jan 2024	OPEN SOURCE ↗
S11	**2024 EV rollout prioritizes buses, taxis and freight** Seoul Metropolitan Government | 28 Feb 2024	OPEN SOURCE ↗
S12	**Living in Seoul 2024: transportation chapter** Seoul Metropolitan Government | 2024 guide	OPEN SOURCE ↗
S13	**UT suspends premium Black pilot** The Asia Business Daily | 30 Jan 2024	OPEN SOURCE ↗
S14	**Korea travel cheat sheet: three new transport services** Korea Tourism Organization, VISITKOREA | 9 Jan 2024	OPEN SOURCE ↗
S15	**Act on the Development of Taxi Transportation Business** National Law Information Center, historical version | 20 Aug 2019; effective 1 Jan 2021	OPEN SOURCE ↗
S16	**TADA, Kakao and i.M compete in large premium taxis** ZDNet Korea | 16 Apr 2022; updated 18 Apr	OPEN SOURCE ↗

[S9] [S10] [S11] [S12] [S13] [S14] [S15] [S16] | Source IDs map to slide footnotes. All recommendations and forecasts are analyst proposals.